

Making Business Credit Work in Kenya

Part 2: Following an order through the loan decision, the cash cycle, and repayment. Research cutoff: 7 September 2026.

The order is there. The customer wants more stock, the supplier has materials available, and the business owner knows how to deliver. The remaining task is to find the money to get production moving. This is where we left the hypothetical packaging business in Part 1. Better infrastructure and regional banking connections make expansion easier to imagine. Now the owner has to decide whether the financing available makes it worthwhile. One lender offers a lower annual rate but needs time to process the application. Another can disburse immediately, with a fee and a repayment date only a few weeks away. The customer expects to pay after delivery. The owner's job is to fit these dates and amounts together without leaving the business short of cash. That is a useful starting point for exploring business credit in Kenya. It brings a large policy discussion into an ordinary commercial decision. What looks like a question about access is also a question about timing, margin, information, and the ability to recover when something goes wrong. Let's follow the decision from the first financing need to the final repayment. Along the way, we can see where banks, fintech companies, and policymakers have room to make finance more useful.

An account opens the door to several different needs

Kenya's 2024 FinAccess Household Survey reported formal financial access of 84.8%, up from 83.7% in 2021. That is a substantial foundation on which to build financial services. The next challenge is matching those services to what people and businesses need to do. [1] Our packaging supplier already has accounts and payment channels. Its financing requirement begins when it agrees to pay for materials and ends when the customer settles the invoice. The business needs enough cash to bridge that period at a cost the order can support. A machine purchase would create a different requirement. The equipment might take time to install, then contribute to production for several years. Financing it with a loan due in a month would leave the owner arranging repayment long before the machine had earned its keep.

An emergency is different again. If a breakdown interrupts production, a short loan might help restore operations quickly. Its value would include avoiding a lost order or a prolonged stoppage. The owner still needs a credible source of repayment once the immediate problem is resolved. CBK's 2024 MSME bank-credit survey examines the details that help distinguish these needs: loan amounts, pricing, terms, products, sectors, and portfolio performance as of December 31, 2024. It complements the household access picture by looking at the financing supplied to enterprises. [2] For a business owner, the practical lesson is to describe the job before choosing the product. Write down what the money will pay for, when it is needed, and which receipt will repay it. This quickly exposes an offer that provides a useful amount on an unworkable schedule. For a lender, those same details create an opportunity. A product designed around an identifiable business cycle can be more useful than a generic loan with an attractive headline. The relationship becomes valuable when the owner can return for a suitable facility as the business develops.

Finding the starting point of the interest rate

Once the owner has defined the need, the conversation turns to price. Kenya's benchmark reform gives that conversation a more visible starting point. KESONIA, the Kenya Shilling Overnight Interbank Average, reflects unsecured overnight shilling borrowing between banks. CBK began publishing the benchmark and its compounded index on September 1, 2025. The transition framework applied to new variable-rate loans from that date and existing variable-rate loans from February 28, 2026. [3] CBK's April 2026 Monetary Policy Committee Report describes the lending rate as KESONIA plus a premium, K. The premium covers

lending costs, the shareholder return, and the borrower's risk profile. Fees and charges add to the total cost. Foreign-currency and fixed-rate loans are outside the KESONIA benchmark's application, and CBR can serve as an alternative where KESONIA is impractical. [4] For the owner, this breaks the quote into parts that can be discussed. The reference rate provides the base. The premium reflects the lender's pricing of the business and the facility. The charges complete the picture of what obtaining and using the money will cost.

Suppose an illustrative offer uses a 9% annual reference rate and a 7% premium. The interest rate is 16% before other costs. If the base drops to 8% and the premium stays at 7%, the rate becomes 15% when the contract's repricing mechanism takes effect. The next step is to read that mechanism. Does the agreement reset monthly or at another interval? Which observation or average determines the reference rate? How can the premium change? Does a fee apply every time the facility is drawn? These are productive questions to bring to a lender. They allow the borrower to understand a change in the monthly payment and compare the offer with alternatives. A common benchmark helps make the discussion more transparent; the agreement explains how that benchmark reaches the customer's cash flow. A good explanation from the bank should leave the owner able to reproduce the basic calculation. That is a useful standard for financial transparency: the borrower can see what they are paying for and how the amount changes.

Why the bank still wants to understand the order

Knowing the base rate does not settle the credit decision. The bank also needs confidence that the business can repay. Our supplier's order provides a starting point, but the credit officer needs to understand the customer, the production costs, the delivery obligation, and the collection date. Stiglitz and Weiss's classic research on credit rationing explains why lenders sometimes decline applications even when borrowers offer to pay more. With imperfect information, raising the price can change which borrowers apply and the risks they take. The lender therefore has to evaluate the transaction as well as set an interest rate. [5] This helps explain the value of good business records. A sales figure tells the bank that activity exists. Reconciled receipts show when money actually arrives. An aged receivables list reveals customers who pay late. Inventory records show whether cash is turning through the business or sitting on a shelf.

For the packaging supplier, a concise financing file could connect those records to the new order. Materials cost this amount, production takes this long, delivery is expected on this date, and the customer has agreed to pay on these terms. Existing commitments belong in the same picture because wages, rent, and other debts continue while the order is being fulfilled. The owner gains something from preparing this explanation too. A calculation may reveal that the order is less attractive than it first appeared. Perhaps the customer requires a lower price and a longer wait for payment. Perhaps a large materials purchase would leave too little cash for normal operations. Finding that out early improves the decision. The owner can negotiate a deposit, adjust the order size, seek better supplier terms, or decline work that would strain the business. The opportunity for lenders is to make this assessment efficient without flattening every enterprise into the same template. A seasonal business needs room to explain its cycle. A growing manufacturer needs its cash commitments understood alongside its revenue. Better information allows the lender to structure the facility around the activity it is financing.

Put two offers on the same piece of paper

Loan comparisons become much clearer when we write down the money received and every payment required. CBK and the Kenya Bankers Association launched the Total Cost of Credit website in 2017 to support this kind of transparency. In July 2025, CBK invited feedback on updating the platform. A comparison tool can help begin the search; the current offer and repayment schedule provide the figures for the decision. [6] Let's work through two invented offers for a 30-day need. These examples illustrate the calculation rather than quote any lender's product. Offer A disburses KES 100,000 today and requires KES 107,000 after 30 days. The business pays KES 7,000 for the period, or 7% of the cash received. That is the

immediate cost to compare with the contribution expected from the financed order. To understand repeated use, simple annualization gives 7% multiplied by 365 divided by 30, approximately 85.2%. Compounding the same periodic cost through successive 30-day periods gives a mathematical effective annual rate of about 127.8%. The second figure describes the stated repeat-borrowing assumption; one 30-day loan still requires the agreed KES 107,000 repayment.

Offer B quotes 18% simple annual interest for the same period and deducts a KES 2,000 fee from the KES 100,000 principal at disbursement. Thirty days of interest is approximately KES 1,479. The owner receives KES 98,000 and repays approximately KES 101,479. The period financing cost is about 3.55% of the cash actually received, before any additional charges. The owner immediately spots another issue: Offer B leaves the business KES 2,000 short if the materials supplier requires KES 100,000. The shortfall needs funding too. Borrowing a larger principal could change both interest and fees, so the final comparison should provide the same usable amount on the same date. These annualized calculations are explanatory, while a lender's official APR disclosure follows its applicable methodology. For the business decision, keep the dated cash flows visible. They show both the price and the amount the owner must find when repayment falls due. Speed belongs on the paper as well. An affordable offer arriving after the supplier's deadline cannot fund this order. A faster offer needs enough room in the transaction's margin to justify its cost. Seeing the alternatives together makes that trade-off much easier to discuss.

Check what is left after the order pays

Now return to the activity the loan will finance. For a simple retail illustration, suppose KES 100,000 of stock is expected to sell for KES 120,000. Incremental transport and selling expenses are KES 5,000. That leaves KES 15,000 before financing and other relevant costs. With Offer A's KES 7,000 charge, the expected contribution falls to KES 8,000 before other costs and taxes. The owner can now ask whether that remaining amount is worthwhile given the effort and risk involved. Run a less favorable case. If sales proceeds reach KES 110,000, with the same KES 5,000 operating expense and KES 7,000 financing charge, the transaction loses KES 2,000. A smaller-than-expected sale has absorbed the original margin. This is a useful rehearsal before committing cash. Timing can create trouble even when the final profit is positive. If the customer pays after the loan's due date, the business needs money to cover the intervening period. The owner's other cash receipts might bridge it, but those receipts may already be committed to wages or another supplier.

A dated schedule makes this visible. Put the disbursement at the beginning, add supplier and operating payments, then place expected customer receipts beside the debt payments. Follow the running cash balance. The lowest point reveals how much room the business has to absorb a delay. For our packaging supplier, that exercise may lead to a conversation with the customer before a conversation with another lender. A deposit or payment on delivery could materially reduce the financing gap. The customer may accept different terms in exchange for a price or service commitment that works for both parties. This is the pragmatic side of credit management. The loan is one part of the transaction. Order size, supplier terms, production timing, and collections all influence how much finance is needed and how safely it can be repaid. Improving any of those can leave more of the commercial margin in the business.

Why the mobile-money evidence is encouraging

Kenya's experience with mobile money helps explain why better financial services can matter so much in ordinary life. Money arriving quickly can prevent a shortfall from becoming a larger disruption. Jack and Suri's 2014 study in the *American Economic Review* found that mobile-money access helped households share risk through transfers and cushioned consumption when shocks occurred. A wider network of senders and lower transaction costs helped money reach households when they needed it. [7] Their later *Science* article estimated that access to M-PESA lifted approximately 194,000 Kenyan households, or 2% of households, out of poverty in the study setting. The effects were stronger for female-headed households.

These historical findings show how a change in financial infrastructure can influence resilience and economic choices over time. [8] The mechanism is worth keeping in view. A transfer from a relative adds cash without necessarily creating a debt. Savings provide money accumulated earlier. Credit brings future repayment into the decision. Each can help at a difficult moment, but the obligations differ.

Research on M-Shwari looks directly at the credit channel. Suri, Bharadwaj, and Jack's 2021 Journal of Development Economics study used the product's credit-score threshold to investigate access and found improvements in household resilience to shocks. It gives us evidence that timely digital borrowing can serve a useful liquidity function. [9] For an entrepreneur, the next step is to connect the product to a particular problem. An emergency facility might keep the household stable while a customer payment is delayed. A savings buffer might cover a small repair. A working-capital loan might make an additional order possible. The value of each service depends on what it helps the user accomplish. This is a productive way to discuss fintech: follow the mechanism, then measure the result. Household resilience, business profit, and investment in equipment are different outcomes. A product can succeed at one without being designed to deliver the others. For providers, that opens a more useful design conversation. Understand the financial interruption customers face, decide which service fits it, and test whether customers are better able to manage their lives or businesses afterward. The research gives us reasons to explore these opportunities carefully and with ambition.

What the lender can learn from a digital sales record

Our supplier's payment history gives a lender a view into the business. Regular receipts may show an established customer base. Seasonal changes may correspond to production cycles. A sudden interruption may prompt a closer look at what has changed. The next task is to interpret the activity. An account can receive sales proceeds, transfers between the owner's accounts, refunds, or borrowed funds. Cash available for repayment emerges after expenses and other commitments. Understanding those movements is what turns a payment record into useful credit information. Consider two merchants with the same monthly digital receipts. One sells high-margin products and collects promptly. The other operates on a thin margin, pays for costly transport, and supports several outstanding obligations. Their turnover looks similar, but their capacity to carry another loan may differ substantially.

Technology can help a lender make these distinctions across many customers. It also needs to be evaluated for the people it serves. Fuster and colleagues' peer-reviewed research on US mortgage lending found that the benefits of machine-learning-based prediction were distributed unevenly across borrower groups. The useful question for Kenyan lenders is how their own models perform across their own customers. [10] That means checking approval, pricing, errors, and repayment alongside overall predictive accuracy. It also means understanding businesses with a short digital history. Some may be new; others may have operated successfully through channels the model does not observe. A review process gives those customers a way to supply additional evidence. A lender might learn something important from an accepted order, a supplier relationship, or corrected transaction information. The process should make clear what the customer can provide and when to expect an answer. There is a commercial opportunity here. A bank or fintech that identifies viable businesses overlooked by competitors can develop valuable relationships. Achieving that requires data quality, sound interpretation, and an effective way to learn when the model gets something wrong. The goal is a lending decision that works for both parties through repayment.

Know who is on the other side of the agreement

Digital distribution makes borrowing feel immediate. The legal relationship still matters, especially when the customer needs help or disputes a charge. Kenya's 2022 Digital Credit Providers Regulations address repayment-capacity assessment, disclosures, customer information, collections, and pricing changes. The framework also identifies exclusions, including institutions regulated under the Banking Act and certain other laws. The product's legal lender determines which framework applies, even when the customer

reaches it through a familiar application. [11] CBK's 2026 impact assessment describes the development of a broader framework for non-deposit-taking credit providers following the 2024 statutory amendments. The document concerns proposed regulations; their commencement needs to be established from the final legal instruments. [12] For a business owner, the immediate practical task is to read the agreement's opening details. Identify the lender, the repayment recipient, and the complaints contact. Keep a copy of the accepted offer, the disbursement record, the schedule, and any subsequent changes.

That record becomes especially useful when something unexpected happens. A payment may be allocated incorrectly. An application may display a balance the customer does not recognize. A notice may arrive after a repayment has already been made. Clear records make it easier to establish the facts and request a correction. The World Bank's digital-credit guidance follows these experiences through the customer journey, including unclear costs, debt stress, unfair treatment, privacy, and fraud. It encourages attention to what happens after access has been granted, when the customer must use and repay the product. [13] Providers can turn this into better service. Show the amount the customer receives and the amount due. Make the due date easy to find. Give customers a working route to a human review when the automated process cannot resolve the issue. Explain changes before they affect the relationship. These details influence whether a business owner returns willingly. Trust develops through a series of ordinary interactions: the money arrives as agreed, the repayment is recorded accurately, and a problem receives a useful response. That is part of building a financial business capable of keeping customers over time.

Build the facility around the problem

Having followed the cash cycle, we can explore a wider set of financing arrangements. The most promising option depends on what is holding the business back. If the packaging supplier has delivered goods and holds an accepted invoice, a receivables-based facility brings the customer's payment obligation into the assessment. The lender needs to understand whether the invoice is valid, when payment is due, whether it is disputed, and whether another financier already has a claim over it. If the firm needs a machine, asset finance or leasing may allow payments to extend over a period related to its productive use. Installation time, maintenance, expected utilization, and the owner's other obligations belong in the calculation. The equipment should improve operations enough to justify the commitment. For a farmer, the design begins with the production cycle. Planting, harvesting, delivery, and payment occur at different times. A buyer contract can improve visibility over sales, while weather, quality, and production risks require their own treatment. A useful repayment schedule recognizes when the activity is expected to generate cash.

Guarantees offer another way to address a lender's concern. The World Bank and FIRST Initiative's principles for public SME credit guarantees describe arrangements that absorb part of a lender's loss, with emphasis on governance, eligibility, partial coverage, sustainability, and evaluation. The purpose is to help finance reach viable activity that would otherwise face a constraint. [14] To assess a guarantee, follow what changes for the borrower. Perhaps a facility becomes available, its term lengthens, or the required security falls. Those changes provide evidence of additional value. They also show whether public support is reaching the problem it was intended to address. The same practical thinking applies before any loan is drawn. A customer paying promptly or agreeing to a deposit can reduce the need for finance. Better stock management can release cash. A smaller first order can establish the relationship without stretching the supplier too far. Exploring these options is part of financial management. It helps the owner choose a combination of commercial terms and finance that the business can sustain.

Prepare while there is still time to choose

The worst moment to discover what a lender needs is the afternoon before a supplier's deadline. Preparation gives the owner more room to compare, negotiate, and choose. Start with a short explanation of the business. Describe the product, the main customers, the suppliers, and the time between spending money and receiving it back. Add current financial records, receivables, stock, and existing debt

commitments. Keep the information consistent enough that another person can follow it. For the next financing need, write a specific request. The amount of usable cash, the date required, the purpose, and the source of repayment should be clear. A business that regularly finances inventory may need a revolving arrangement, while a one-off asset purchase needs a different conversation. Then rehearse a difficult month. Move the largest receipt back by two weeks. Reduce expected sales. Increase the cost of an imported input. Watch what happens to the cash balance and decide what action management would take. This helps establish the size of the buffer needed alongside the facility.

When offers arrive, put them into a single dated schedule. Include charges, collateral, guarantees, currency, renewal terms, and early or late repayment conditions. Ask the lender to explain anything that changes the amount received or the amount due. After repayment, return to the original assumptions. Perhaps the customer consistently takes longer to pay than promised. Perhaps the stock sells faster than expected. Perhaps a fee makes a small repeated draw more expensive than a different arrangement. Each observation improves the next decision. For our packaging supplier, this process can become part of taking every larger order. The owner already checks product specifications and production capacity. Checking the financing cycle belongs alongside them. Over time, the business builds a record that helps it negotiate and helps a lender understand how it operates. That preparation gives growth a firmer footing. The next order arrives with fewer unknowns, and the owner has a clearer sense of which opportunities the business can afford to pursue.

Follow the borrower beyond disbursement

The same discipline belongs in the way investors and policymakers assess the credit market. A disbursement shows that money was lent. Following the borrower afterward tells us what the product achieved. Begin with the purpose. A short emergency facility can be valuable if it prevents a disruption and is repaid without creating a persistent problem. A working-capital facility should help the enterprise complete its operating cycle. Equipment finance needs time to show its contribution to output and earnings. Then track repayment and the conditions behind it. Did the customer repay from the expected receipts? Was another loan required? Did the enterprise keep enough cash for ordinary operations? A lender can collect successfully while the borrower struggles elsewhere, so repayment alone gives only part of the picture. For the provider, examine the earnings after funding, administration, and credit losses. Track loans originated in the same period so that rapid growth does not hide problems in earlier lending. A useful product must remain financially sustainable for the institution supplying it.

For the wider economy, follow business survival, profit, fulfilled orders, and investment over an appropriate period. Compare similar businesses where possible. Enterprises that borrow may already differ from those that do not, which is why the research design behind impact claims matters. Good monitoring can reveal patterns; stronger evaluation helps explain what caused them. There is room here for a more informative public conversation. Banks and fintech companies can discuss how their products fit customer needs. Policymakers can examine which barriers still prevent viable firms from obtaining suitable finance. Investors can look for institutions that earn durable returns by improving the customer's operating cycle. Return to the packaging business one last time. Materials arrive, production runs, the customer receives the goods, and payment clears. The owner repays the facility and has something left for the business. The next order can now be considered from a stronger position. That is the connection worth following from regional investment to business credit. The large projects and banking strategies create possibilities. Suitable finance helps an enterprise turn a possibility into work delivered, money collected, and the confidence to grow again.

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